

Recursion Pharmaceuticals, Inc.

RXRX • NASDAQ Global Select • Biotechnology • United States

RECOMMENDATION SELL 12-month horizon	CURRENT PRICE 4.84 USD as of report date	TARGET PRICE 4.10 USD 12-month fundamental		
IMPLIED UPSIDE -15.3% vs. current price	MARKET CAP USD 1.3 bn shares × price	ENTERPRISE VALUE USD 1.6 bn mcap + net debt		
P/E 2025E -2.2×	EV/EBITDA 2025E -2.9×	FCF YIELD 2025E -62.2%	DIVIDEND YIELD 2025E —	NET DEBT / EBITDA 2025E -0.6×

RESEARCH SNAPSHOT

The call, the math, and the three reasons why

02

This page is the institutional summary. Read it in 30 seconds — the rest of the report is the supporting evidence.

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- 01

Unsustainable FCF Deficit Overwhelming Net Sales

The company faces an unsustainable \$802 million free cash flow deficit in 2025 because exponential compute capital expenditures overwhelm baseline net sales of \$59 million.

- \$802M FCF
- 02

Unjustified Pre-Revenue Software Enterprise Value

The market assigns a \$500 million enterprise value to a software segment with \$0 external revenue. That allocation requires securing \$50 million in commercial licenses to justify its multiple.

\$500M EV
- 03

Dependence on Milestone Acceleration for Survival

Valuation preservation depends entirely on securing multiple midstage clinical milestones annually to bridge the massive funding gap toward a projected \$1.18 billion EBITDA loss by 2028.

- \$1.18B EBITDA

THESIS BREAKER

Accelerated, non-dilutive monetization of the Recursion OS through broad SaaS adoption or definitive Phase 2/3 clinical efficacy for proprietary assets such as REC-4881.

SHARE PRICE DEVELOPMENT

Price trajectory and valuation anchors

03

24+ months of monthly closes with the 12-month target overlaid. Quick facts pull from market data.



VALUE BREAKDOWN · PART 1

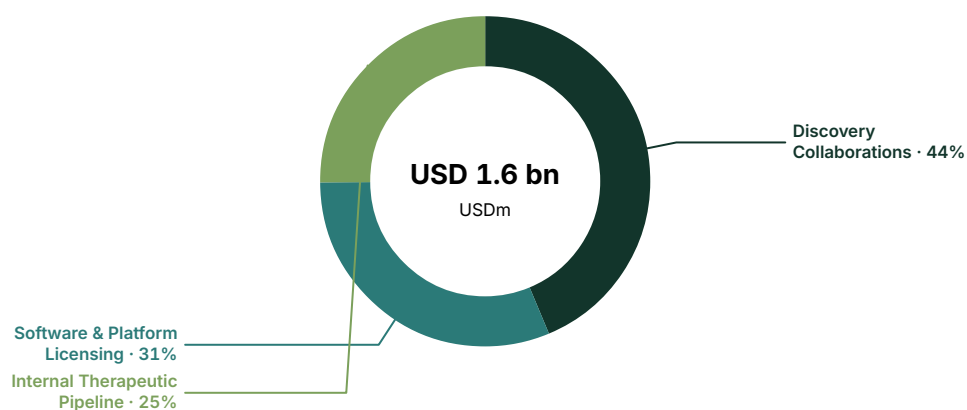
Enterprise - value allocation by value pool

04

Each pool's share of the group's enterprise value, with revenue / EBIT / EV economics.

Enterprise value by pool

EUR millions



SEGMENT ECONOMICS

	REVENUE	REV %	COMP. EBIT	EBIT %	EV	EV %	ARCHETYPE
Discovery Collaborations	59	100.0%	-50	0.0%	700	43.6%	Scaling
Software & Platform Licensing	0	0.0%	-150	0.0%	500	31.2%	Recurring
Internal Therapeutic Pipeline	0	0.0%	-279	0.0%	405	25.2%	Emerging option

VALUE BREAKDOWN · PART 2

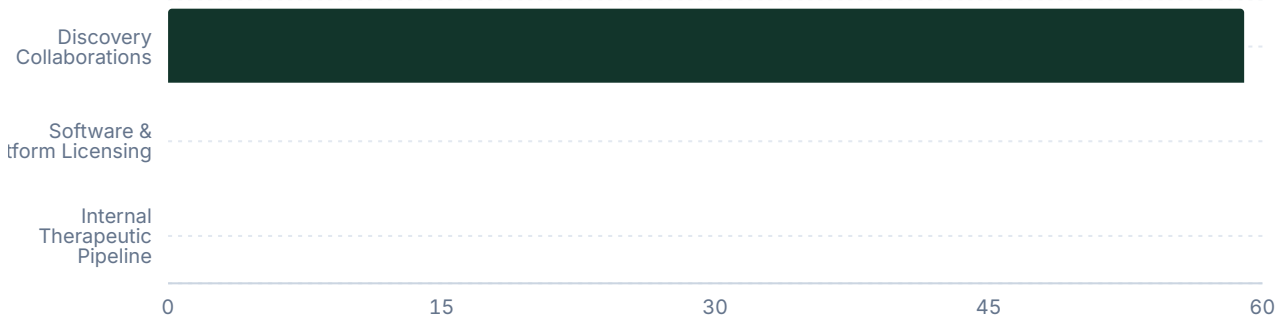
05

Net sales and EBIT by pool

Two horizontal bar charts showing where revenue and earnings actually come from.

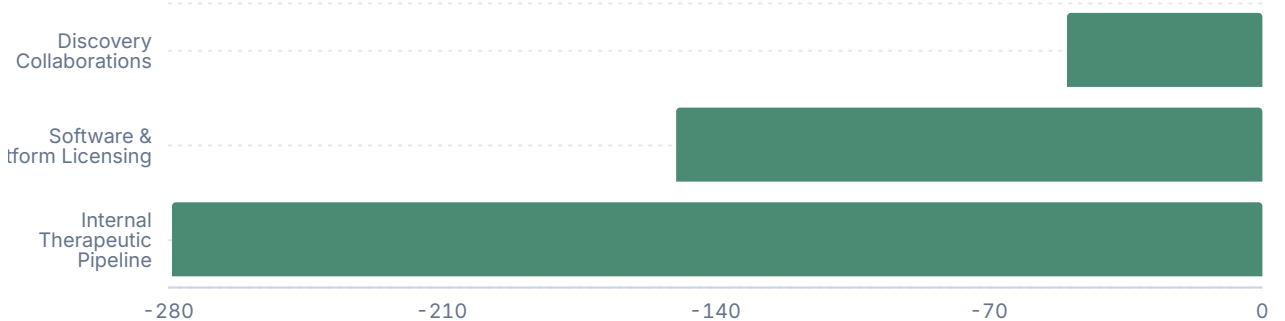
Net sales by pool

EUR millions, latest reported



Comparable EBIT by pool

EUR millions, latest reported



INTERPRETATION

Recursion Pharmaceuticals shows an extreme disconnect between current economic output and market valuation. The company generated \$59 million in revenue in 2024, entirely from milestone and research payments within its Discovery Collaborations segment. Despite this limited top line and a heavily negative reported EBIT of -\$479 million, the market assigns an enterprise value of \$1,605 million.

RECOMMENDATION

06

Why we land on the call we do

The supporting prose, the rating decision, and the three load-bearing reasons.

Initial logic and parameters are validated

Standard processing applied

Recursion Pharmaceuticals' \$1,605 million enterprise value is a binary call option on AI-driven clinical success, with an unsustainable \$802 million forward 2025 free cash flow deficit underneath. Valuation preservation depends entirely on milestone acceleration offsetting the structural cash consumption of the BioHive supercomputing infrastructure and establishing a baseline operating margin before capital markets close.

SELL

TARGET PRICE

4.10 USD

CURRENT PRICE

4.84 USD

IMPLIED UPSIDE

-15.3%

12 - MONTH VIEW

Structural funding constraints and exponential compute capital expenditures overwhelm the current cash runway, driving severe dilution risks.

MAIN DRIVER

Unfunded \$802M FCF deficit in 2025.

MAIN RISK

Unexpected broad platform monetization or FDA approvals.



01 Unsustainable FCF Deficit Overwhelming Net Sales

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-\$802M FCF

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\$500M EV

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-\$1.18B EBITDA

THESIS
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CORE ANALYSIS · EXECUTIVE MAP

07

How the company creates economic value

The mental model behind every pool deep-dive that follows.

Initial logic and parameters are validated

Standard processing applied

Every segment is structurally loss-making, so the enterprise value allocation relies on indirect analytical estimation rather than traditional EBITDA multiples. The central analytical task is testing whether the unit economics of these milestones and potential software licenses can realistically bridge the company's aggressive, multi-year cash burn without destroying equity value through severe dilution.

ANALYTICAL ANCHOR

Enterprise valuation depends fully on unproven external software monetization and aggressive milestone acceleration to offset severe, structural cash consumption.

08

Discovery Collaborations

Pool deep dive — scaling_current_business.

Initial logic and parameters are validated

Standard processing applied

The sheer size of the contracted milestone pools provides a mathematical path to justifying the \$700 million EV allocation. But pharmaceutical development timelines are notoriously slow, and Recursion's current cash burn requires these milestones to materialize much faster than traditional industry averages dictate.

DISCOVERY
COLLABORATIONS FACT
SHEET

SCALING_CURRENT_BUSINESS

2024 REVENUE
\$59M

REQUIRED STEADY-STATE
REVENUE
\$150M - \$200M annually

REQUIRED MILESTONE
FREQUENCY
4-6 mid-stage
milestones/yr

KEY PARTNERS
Roche, Genentech, Bayer

TOTAL POTENTIAL MILESTONES
Up to \$12B+ (Roche)

CORE ANALYSIS · POOL DEEP DIVES

08

Software & Platform Licensing

Pool deep dive — recurring_software_or_service.

Initial logic and parameters are validated

Standard processing applied

Speculative. The valuation rests entirely on narrative rather than unit economics. Without evidence of external software monetization, the platform's heavy depreciation and CapEx requirements make it an economic liability, not an asset.

SOFTWARE & PLATFORM
LICENSING FACT SHEET

RECURRING_SOFTWARE_OR_SERVICE

CURRENT SOFTWARE REVENUE
\$0

REQUIRED SOFTWARE ARR
\$50M - \$80M

REQUIRED CONTRIBUTION
MARGIN
75%+

KEY TECHNOLOGY
Recursion OS, BioHive - 2

KEY HARDWARE PARTNER
NVIDIA (divesting equity)

08

Internal Therapeutic Pipeline

Pool deep dive — emerging_option.

Initial logic and parameters are validated

Standard processing applied

Unsupported by recent clinical evidence. The failure of lead internal assets demonstrates that AI has not yet solved the biological complexity that causes late-stage clinical attrition.

INTERNAL THERAPEUTIC PIPELINE FACT SHEET

EMERGING_OPTION

CURRENT PRODUCT REVENUE
\$0

REQUIRED RISK-ADJUSTED
PEAK SALES
\$250M - \$400M

REQUIRED CLINICAL SUCCESS
PROB.
15% - 25%

LEAD ASSET
REC-4881 (FAP)

RECENT TERMINATIONS
REC-994, REC-2282, REC-3964

CORE ANALYSIS · CROSS-POOL BRIDGE

09

Putting the pools back together

How the parts add up — and where the multiple has to come from.

Initial logic and parameters are validated

Standard processing applied

This bridge is fundamentally weak because it requires capital markets to continuously fund a billion-dollar annual cash deficit for a pre-commercial business. For this forecast to be credible, Recursion must either drastically reduce platform and internal pipeline investment, secure multi-hundred-million-dollar upfront software licensing deals, or execute highly dilutive equity raises.

BRIDGE MECHANICS

Linear, partner-dependent revenue growth is aggressively outpaced by exponential compute capital expenditures and rising SG&A and R&D burdens.

Initial logic and parameters are validated

Standard processing applied

The most fragile assumption in this allocation is the separability of the platform's value from its clinical output. If the platform cannot identify efficacious drugs for internal use, pharmaceutical partners will eventually stop paying Discovery Collaboration milestones. The entire \$1.6 billion enterprise value therefore operates as a single, highly correlated binary option on the efficacy of machine learning in biology.

CORE ANALYSIS · SCENARIOS & VERDICT

10

Scenario logic and the bottom-line judgment

How the report would look different if the call breaks the wrong way.

Initial logic and parameters are validated

Standard processing applied

The Bear scenario materializes if clinical attrition accelerates. If REC-4881 fails and Roche delays its option exercises, the TechBio premium vanishes. Enterprise value collapses to the salvage value of BioHive hardware and intellectual property. The Bull scenario requires Recursion to prove the AI thesis definitively: generating multiple Phase 2 successes, triggering hundreds of millions in non-dilutive partner cash, and commercializing the software platform to establish a high-margin ARR floor.

BOTTOM LINE

Enterprise value bridges to positive equity value only if management can thread the needle of funding a projected \$802 million 2025 free cash flow deficit without catastrophic dilution. A portfolio manager should aggressively monitor quarterly cash burn, the cadence of Roche option exercises, and clinical data for REC-4881. Until the platform generates standalone software revenue or definitive Phase 2 efficacy, the equity remains a highly speculative, binary option on the future of TechBio.

FINANCIAL BRIDGE · PART 1

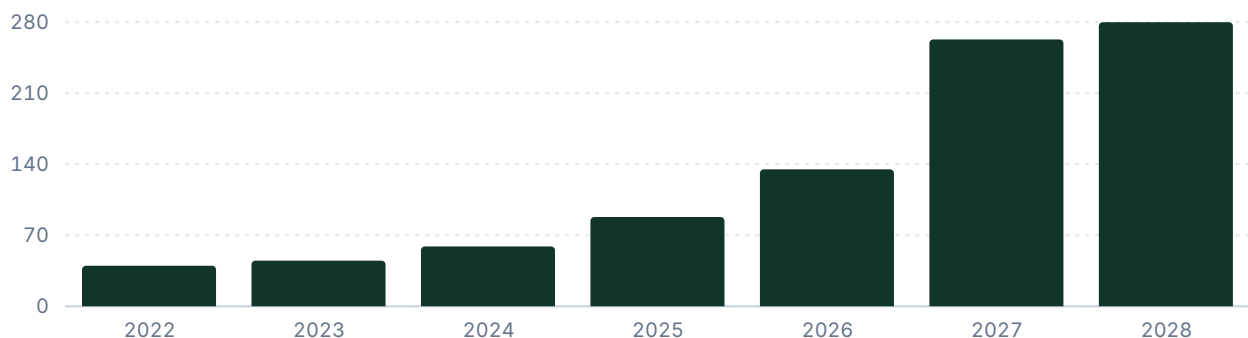
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Net sales, EBITDA / EBIT, EBIT margin

Group-level top-down view. Shaded bands show forecast periods.

Net sales

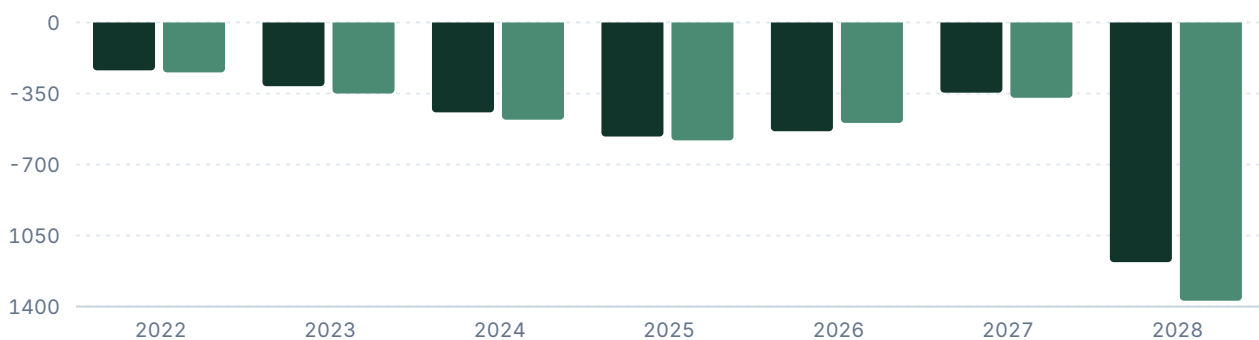
EUR millions



EBITDA & EBIT

EUR millions

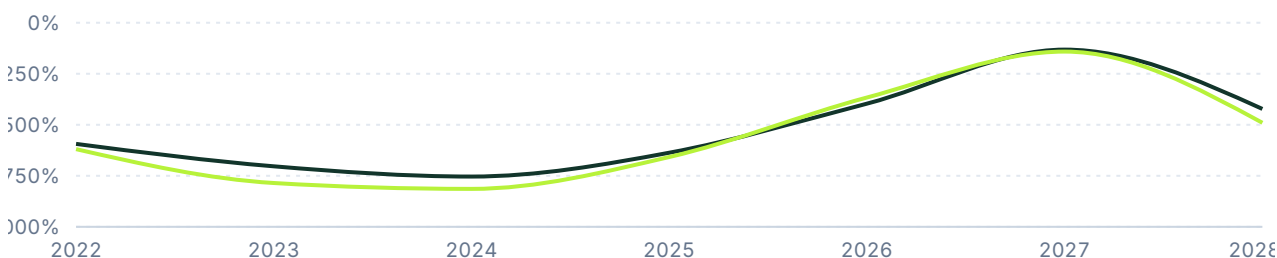
- EBITDA
- EBIT



EBIT and EBITDA margin

% of net sales

- EBITDA margin
- EBIT margin



FINANCIAL BRIDGE · PART 2

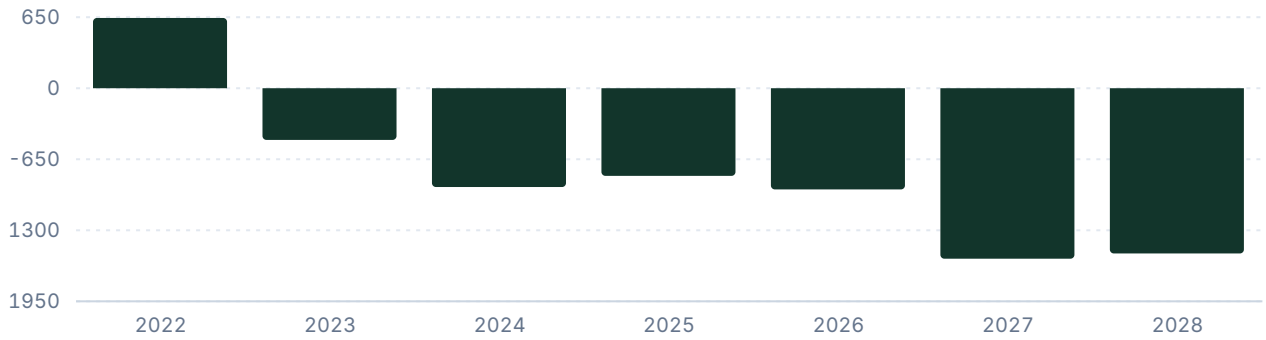
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Free cash flow, leverage, and key financials

Cash generation and balance-sheet capacity.

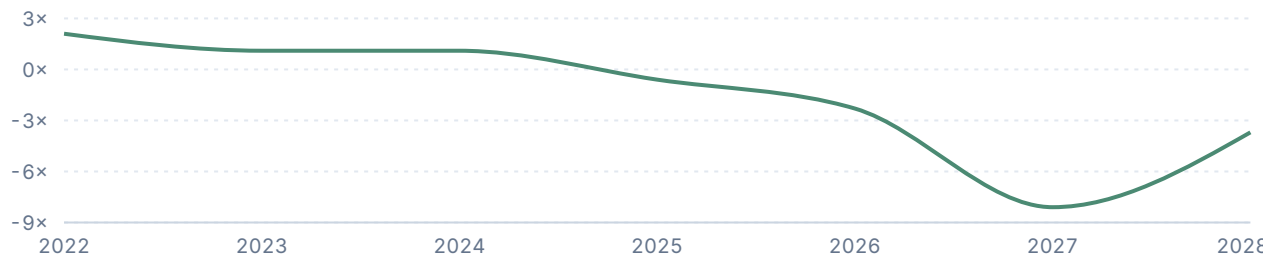
Free cash flow

EUR millions



Net debt / EBITDA

Ratio



KEY FINANCIALS

	2024	2025	2026	2027	2028
Net Sales	59	88	135	263	280
EBITDA	-443	-562	-536	-346	-1,181
Comparable EBIT	-479	-581	-495	-371	-1,371
Net Earnings	-464	-574	-491	-378	-1,380
EPS (USD)	-1.7	-2.1	-1.8	-1.4	-5
DPS (USD)	0	0	0	0	0

MULTIPLES & SENSITIVITY

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Forward multiples and EBITDA × multiple grid

How the implied value changes when EBITDA and the trading multiple move.

FORWARD MULTIPLES	
	2025
P/E	-2.2×
EV/EBITDA	-2.9×
EV/EBIT	-2.8×
P/FCF	-1.6×
P/BV	2.8×
Dividend Yield	—
Net Debt / EBITDA	-0.6×

EBITDA × EV/EBITDA sensitivity					
EBITDA EV/EBITDA →	-2.0×	-1.5×	-1.0×	-0.5×	0.0×
-20% USD -450m	USD 900m USD 3.20 / sh	USD 675m USD 2.70 / sh	USD 450m USD 2.20 / sh	USD 225m USD 1.70 / sh	USD -0m USD 1.10 / sh
-10% USD -506m	USD 1,012m USD 3.50 / sh	USD 759m USD 2.90 / sh	USD 506m USD 2.30 / sh	USD 253m USD 1.70 / sh	USD -0m USD 1.10 / sh
Base USD -562m	USD 1,124m USD 3.80 / sh	USD 843m USD 3.10 / sh	USD 562m USD 2.50 / sh	USD 281m USD 1.80 / sh	USD -0m USD 1.10 / sh
+10% USD -619m	USD 1,238m USD 4.00 / sh	USD 929m USD 3.30 / sh	USD 619m USD 2.60 / sh	USD 310m USD 1.90 / sh	USD -0m USD 1.10 / sh
+20% USD -675m	USD 1,350m USD 4.30 / sh	USD 1,013m USD 3.50 / sh	USD 675m USD 2.70 / sh	USD 338m USD 1.90 / sh	USD -0m USD 1.10 / sh

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SCENARIO VALUATION

Bear / Base / Bull bridge

Revenue, EBITDA, multiple, EV, equity, value-per-share and upside in each scenario.

SCENARIO BRIDGE								
	REVENUE	EBITDA	MARGIN	MULTIPLE	EV	EQUITY	VALUE / SHARE	UPSIDE
Bear	59	-500	-847.4%	-1.0×	500	986	USD 2.31	-52.3%
Base	135	-536	-397.0%	-3.0×	1,603	2,088	USD 4.89	+1.0%
Bull	280	-1,181	-421.8%	-3.0×	3,496	3,982	USD 9.32	+92.5%
KEY CONDITIONS Scenario outcomes depend completely on the timing and frequency of multi-million-dollar pharmaceutical milestones (Roche, Bayer), the ability to transition the Recursion OS into a standalone commercial SaaS entity, and the clinical efficacy results of the remaining proprietary therapeutic pipeline.								
THESIS BREAKER Accelerated clinical attrition of remaining wholly owned assets coupled with a freeze in pharmaceutical partner milestone options.								

CATALYSTS

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Monitoring checklist

Near, medium and long-term events that could shift the call.

CATALYST REGISTER				
	TIMING	POOL	INDICATOR	VALUATION IMPACT
REC-4881 Clinical Data Readouts	MEDIUM-TERM	Internal Therapeutic Pipeline	H2 2026 data	Critical for restoring internal pipeline credibility
Roche / Bayer Milestone Announcements	NEAR-TERM	Discovery Collaborations	Quarterly announcements	Dictates cash runway and prevents equity dilution
Third-Party BioNeMo/SaaS Contracts	MEDIUM-TERM	Software & Platform Licensing	First material ARR contract	Required to validate the standalone software EV
Quarterly Free Cash Flow Burn	NEAR-TERM	Group Financials	Quarterly FCF metrics	Early warning indicator for forced equity raises
READ - THROUGH The most critical catalyst is the clinical data readout for REC-4881. After the purge of earlier clinical assets, this readout will act as a proxy for the entire platform's validity. The easiest catalyst to observe is the announcement of partner milestones; every \$30 million to \$50 million payment directly extends the cash runway and defers dilution.				

RISKS

Risk register

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Each risk's pool, mechanism, early - warning trigger, impact band and structural type.

RISK REGISTER					
	POOL	MECHANISM	EARLY WARNING	IMPACT	TYPE
Dilution / Capital Markets Closure	Group Financials	Inability to fund the structurally widening FCF deficit forces highly dilutive equity raises or debt restructurings.	Failure to trigger multiple Phase 2 milestones.	HIGH	STRUCTURAL
Clinical Attrition (Eroom's Law)	Internal Therapeutic Pipeline	AI-discovered drugs fail at historical industry rates, undermining the core platform premise.	REC-4881 negative efficacy signals.	HIGH	THESIS-BREAKER IF COME
TechBio Sentiment Reversal	Software & Platform Licensing	Market rotates away from infrastructure narratives to punishing pre-revenue software evaluations.	NVIDIA divestiture and absence of commercial SaaS contracts.	MEDIUM	MANAGEABLE
Integration Risk (Exscientia)	Group Financials	Merging distinct AI architectures and corporate cultures exacerbates the cash crunch.	Spikes in SG&A or delays in merged pipeline readouts.	MEDIUM	MANAGEABLE
READ - THROUGH The most thesis-breaking risk is the capital structure consequence of sustained free cash flow burn. If the macroeconomic environment limits access to equity capital, Recursion will be forced to debt-finance its clinical trials or aggressively curtail its supercomputing investments. Either path breaks the long-term growth thesis.					

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APPENDIX

Income statement

INCOME STATEMENT — EUR MILLIONS						
	2022	2023	2024	2025	2026	2027
Net Sales	40	45	59	88	135	263
EBITDA	-236	-314	-443	-562	-536	-346
EBITDA margin	-593.6%	-703.5%	-753.7%	-636.9%	-396.4%	-131.7%
Depreciation	-10	-36	-36	-19	41	-25
Operating Profit (EBIT)	-246	-350	-479	-581	-495	-371
EBIT margin	-619.3%	-785.3%	-814.1%	-657.9%	-366.4%	-141.3%
Net financial items	6	18	14	0	-2	-12
Pre-tax Profit	-239	-332	-465	-581	-497	-383
Net Earnings	-237	-326	-464	-574	-491	-378
PER SHARE						
EPS	-1.4	-1.6	-1.7	-2.1	-1.8	-1.4
DPS	0	0	0	0	0	0
Payout ratio	—	—	—	—	—	—

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APPENDIX

Balance sheet

BALANCE SHEET — EUR MILLIONS						
	2022	2023	2024	2025	2026	2027
ASSETS						
Tangible assets	121	120	233	311	476	925
Intangibles	1	36	336	504	771	1,500
Goodwill	1	52	149	149	149	149
Non-current assets	139	216	732	978	1,410	2,588
Inventories	1	—	—	—	—	—
Receivables	19	47	120	121	147	220
Cash & equivalents	550	392	594	851	1,302	2,533
Current assets	570	438	714	972	1,450	2,753
Total Assets	701	654	1,449	1,952	2,862	5,344
EQUITY & LIABILITIES						
Equity	486	463	1,035	461	-30	-408
Long-term debt	1	1	19	584	1,273	2,675
Short-term debt	6	0	22	584	1,274	2,675
Long-term liabilities	64	46	143	707	1,397	2,798
Current liabilities	100	93	187	767	1,478	2,937
Total liabilities & equity	701	654	1,449	1,952	2,862	5,344
CAPITAL STRUCTURE & RATIOS						
Net debt	-493	-341	-486	316	1,245	2,816
Capital invested	-58	73	482	778	1,215	2,408
Equity ratio	69.3%	70.9%	71.4%	23.6%	-1.0%	-7.6%
Gearing	-101.5%	-73.6%	-47.0%	68.6%	-4191.6%	-690.2%
Net debt / FRITDA	2.1x	1.1x	1.1x	-0.6x	-2.3x	-8.1x

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APPENDIX

Cash flow

CASH FLOW — EUR MILLIONS						
	2022	2023	2024	2025	2026	2027
OPERATIONS						
CF from operations	52	-317	-429	-538	-537	-368
Operating cash flow	45	-342	-430	-538	-535	-356
Change in working capital	-279	28	1	-17	6	15
INVESTING & FREE CASH						
Gross capex	65	113	552	264	391	1,204
Capex (ex. M&A)	-65	-113	-552	-264	-391	-1,204
Free Operating Cash Flow	643	-473	-904	-802	-926	-1,560
Free cash flow to firm	643	-473	-904	-802	-926	-1,560
FINANCING						
CF from financing	279	279	1,171	1,059	1,379	2,803
Dividends paid	—	—	—	—	—	—
Net change in cash	265	-151	189	257	451	1,231

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APPENDIX

Quarterly snapshot

LAST FOUR QUARTERS — EUR MILLIONS				
	Q1/24	Q2/24	Q3/24	Q4/24
Net Sales	14	14	26	5
EBITDA	-89	-93	-91	-171
EBITDA margin	-644.8%	-641.9%	-349.5%	-3786.7%
Comparable EBIT	-96	-101	-98	-184
EBIT margin	-698.4%	-697.4%	-377.1%	-4073.8%
Net Earnings	-96	-100	-98	-184
EPS	-0.4	-0.4	-0.4	-0.7

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SOURCES & DISCLAIMER

Sources, assumptions, and standard disclaimer

SOURCES REGISTER			
	VALUE	CATEGORY	USED IN
Target Price (\$4.10)	4.10	ANALYST-GENERATED ESTIMATE	Cover Page, Recommendation
2024 Net Sales (\$59M)	59	FINANCIAL SNAPSHOT	Segment Analysis, Financial Bridge
Allocated EV - Discovery Collaborations (\$700M)	700	COMPANY VALUE MAP	Value Pools, Core Analysis
Projected 2028 EBITDA (-\$1,181M)	-1181	MODEL OUTPUT	Financial Bridge, Scenarios
Consensus 2025 EBITDA (-\$583M)	-583	CONSENSUS ESTIMATES	Forecast Comparisons
Market Capitalization (\$1,289M)	1289	MARKET DATA	Enterprise Value Bridge
DISCLAIMER This analysis relies heavily on the realization of projected but uncontracted future clinical milestones. Actual results may differ materially. Reliance on AI platforms for biological drug discovery remains broadly unproven in Phase 3 clinical settings. © 2026 Recursion Pharmaceuticals, Inc. research. For institutional use only.			